

What about Leasing?

A lease is like borrowing a car rather than buying it. You make monthly payments for the period of the lease, usually three to five years. At the end of the lease term, you have the choice of returning the car to the dealer, buying it, or in some cases, renting it from month to month. Even though you don't own the leased car, you're responsible for insurance, regular maintenance, and repairs not covered by the warranty. You will need to keep detailed records of service and repairs and the dealer will probably ask that all services be performed where you bought the car or another dealership of the same manufacturer. If you lease only for the length of the warranty, you'll never have to pay for major repairs.



ESSENTIAL

Search the Internet for “lease versus buy calculators.” Some of the best calculators are available at www.bloomberg.com (go to “Investment Tools,” then “Calculators”) and www.bankrate.com. Also, LeaseGuide.com (www.leaseguide.com) offers an online Lease Kit that rates cars for leasing purposes and helps you analyze any lease you're thinking of entering into.

When you lease, you're paying only for a portion of the car's value, the part you “use up,” known as depreciation. In a closed-end lease (a lease with a specific term), the price you'd pay to buy the car at the end of the lease is determined ahead of time. In an open-end lease, the car is priced at the end of the lease based on market value and the condition of the car.

The Benefits of Leasing

Leases require relatively little cash up front, usually \$500 plus one month's payment as a security deposit and the first month's payment on the